

Hopper Demand Strong, Blackwell Delays in Rearview

Beat fell short of expectations, which rose sharply into the print but the important point is that the Blackwell delay is in the rearview mirror, while Hopper demand remained strong. The AI TAM vs ROI debate will rage on but NVDA's product story is back on track.

Continued strong Hopper demand but expectations spiked into the print with the guidance beat of \$32.5B (vs. St \$31.7B) below investor expectations closer to \$33-34B. Hopper demand remains strong and the company noted the Blackwell ramp was a key topic of discussion with expectations of several billion in revenue starting in 4Q – on time despite fears of more significant delays. The delay was fairly well understood already but the company did note a change to the Blackwell GPU mask to improve production yield. Overall, AI spend levels won't be without a debate but the story is back on track with the Blackwell delay fears now in the rearview and several billion dollars of Blackwell layering onto continued growth in Hopper in the back half.

Better DC Revenue Drives July Above Expectations: NVDA reported July quarter revenue ahead at \$30B (15% Q/Q vs. Street \$28.7B). Data Center again beat Street expectations with revenue at \$26.3B (16% Q/Q vs. Street's \$25.3B), Gaming beat at \$2.9B (9% Q/Q vs. Street's \$2.7B), with Auto in-line at \$346M (5% Q/Q vs. Street's \$345M) along with Professional Visualization at \$454M (6% Q/Q vs. Street's \$450M), with better OEM/Other at \$88M (13% vs. Street's \$78M). GMs reported in-line at 75.7% (vs. Street's 75.7%), down 345bps sequentially driven by inventory provisions for low-yielding Blackwell material and a higher mix of new products within Data Center. Operating margin ahead at 66.4% (vs. Street's 65.9%) as Opex reported in-line at \$2.8B (vs. Street's \$2.8B), resulting in EPS ahead at \$0.68 (vs. Street's \$0.65).

October Guide Good; But Not Good Enough: Guided October revenue at \$32.5B (11% Q/Q, vs. Street's \$31.7B). GM at 75% (vs. Street's 75.3%). Opex guided to \$3.0B (vs. Street's \$3.06B) other income and expense of \$350M and tax of 17%, implying EPS of ~\$0.68 (vs Street's \$0.67). For the full year, gross margins are expected to be in the mid-70% range, and Opex is expected to grow in the mid- to upper-40% range. China revenue is expected to be up sequentially but still meaningfully below pre-restriction peak of 20-25%. However, the specific commentary suggests that the revenue is material, consistent with the \$2-3B we have modeled. Each segment is expected grow sequentially, we model Data Center to be up 9% to \$28.6B (vs. Street's \$28.4B), Gaming of \$3B (vs. Street's \$2.95B), Professional Visualization of \$477M (vs. Street's \$477M), Automotive of \$363M (vs. Street's \$367M), and OEM/Other of \$90M (vs. Street's \$78M).

(FY Jan)	2023A	2024E	2025E	2026E
Rev. (MM)	60,922.0	124,187.7	180,106.8	205,749.4
Cons. Rev.	-	122,681.2	166,155.9	186,006.3
EPS	1.30	2.81	4.19	4.96
Cons. EPS	-	2.79	3.89	4.07

ESTIMATE CHANGE	
RATING	BUY
PRICE	\$125.61^A
PRICE TARGET % TO PT	\$150.00 +19%
52W HIGH-LOW	\$140.76 - \$39.23
FLOAT (%) ADV MM (USD)	95.1% 44,258.56
MARKET CAP	\$3.1T
TICKER	NVDA
^Prior trading day's closing price unless otherwise noted.	

	CHANGE TO JEF ^e		JEF vs CONS	
	2024	2025	2024	2025
REV	NM	NM	+1%	+8%
EPS	NM	<-1%	+1%	+8%

2024 (\$)	Q1A	Q2A	Q3	Q4	FY
EPS	0.61	↑ 0.68	0.73	↓ 0.79	↓ 2.81
PREV		0.66		0.82	2.82

Figure 1 - Results and Guide

		JULY RESULTS		
	Reported	JEF Est	Consensus	
Revenue	\$30.040	\$29.337	\$28.737	
Q/Q	15%	13%	10%	
Y/Y	122%	117%	113%	
Gross Margin	75.7%	75.5%	75.7%	
Operating Expenses	2,792	2,801	2,880	
Operating Margin	66.4%	65.9%	65.7%	
Net Income	\$16,952	\$16,328	\$15,992	
EPS (ex-ESQ)	\$0.82	\$0.66	\$0.65	
Share Count	2,485	24,890	24,780	
		OCTOBER GUIDE		
	Guidance	JEF Est	Consensus	
Revenue	\$32.500	\$32.464	\$31.714	
Q/Q	8%	11%	8%	
Y/Y	79%	79%	75%	
Gross Margin	75.0%	75.8%	75.5%	
Operating Expenses	3,000	2,951	3,031	
Operating Margin	65.8%	66.5%	65.9%	
Net Income	\$18,032	\$18,241	\$17,673	
EPS (ex-ESQ)	\$0.73	\$0.73	\$0.71	
Share Count		24,880	24,786	
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Source: Company Reports, FactSet, Jefferies Research

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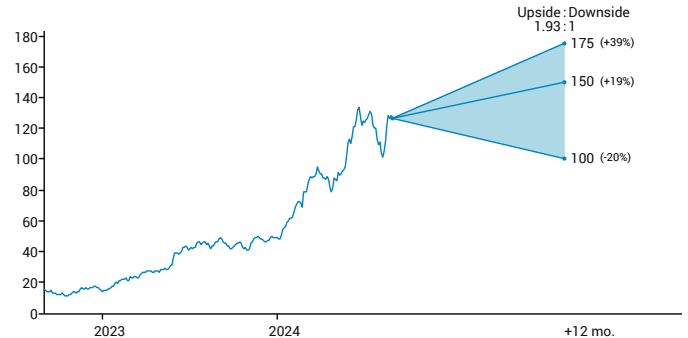
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The Long View: NVIDIA Corporation

Investment Thesis / Where We Differ

- Industry checks suggest further upside with beats accelerating in FY26 as Blackwell ramps.
- Unique bottom-up approach with multiple inputs from Asian and Fubon counterparts through the supply chain (ODM, Packaging, CoWoS, etc).
- See increased systems sales with the ramp of the GB200, further increasing the competitive moat.

Risk/Reward - 12 Month View



Base Case, \$150, +19%

- NVDA remains the dominant supplier of acceleration solutions in the data center.
- Gaming TAM grows at a Double Digit CAGR.
- Auto modeled to grow conservatively given AV ramp timing uncertainty.
- **Price Target: \$150** implies 27x our CY27 EPS of \$5.60.

Upside Scenario, \$175, +39%

- NVDA expanding its data center TAM and controlling 80%+ of the DC ecosystem.
- Accelerated growth in Generative AI across multiple end-markets.
- Accelerated growth from Automotive, with proliferation of autonomous cars.
- Gaming GPU upgrades and incremental demand.
- **Price Target: \$175** implies 27x our CY27 EPS of \$6.50.

Downside Scenario, \$100, -20%

- Emerging competitive threats from INTC, AMD, and internally designed ASICs from Hyperscalers take share and pressure ASPs.
- Slowing datacenter capex spending from Enterprises and Hyperscalers.
- Slower-than-expected ramp of Automotive platform.
- **Price Target: \$100** implies 20x our CY27 EPS of \$5.00.

Sustainability Matters

Top Material Issue(s): 1) Product Design & Lifecycle: NVDA's GPU is the leader in graphics and parallel processing for HPC acceleration for AI workloads. NVDA estimates that its GPUs provide 20x better energy efficiency for these workloads over CPU servers. Its GPU leadership is bolstered by its expansive ecosystem, which expands developer adoption and application/use cases. Future NVDA GPU growth will be driven by new applications such as Omniverse, a 3D simulation platform. One application of Omniverse was Earth-2, a planned AI supercomputer dedicated to being a digital twin of Earth and simulate the impact of climate change.

Company Targets: 1) Source 100% of global electricity use from renewable energy by end of fiscal year 2025. **2)** Make every new generation of GPUs faster and more energy-efficient than its predecessor.

Questions for Management: 1) What sustainability potential do you see from Earth-2 and are you working with any climate activists on sustainability initiatives? **2)** What applications near and long term are the biggest drivers for NVDA GPU adoption?

Catalysts

- Upcoming product ramp of Blackwell GPUs in 2H24.
- Increased datapoints around GB200NVL adoption.
- Capex increases by hyperscaler customer base.
- Automotive design wins and ramp of auto platform.

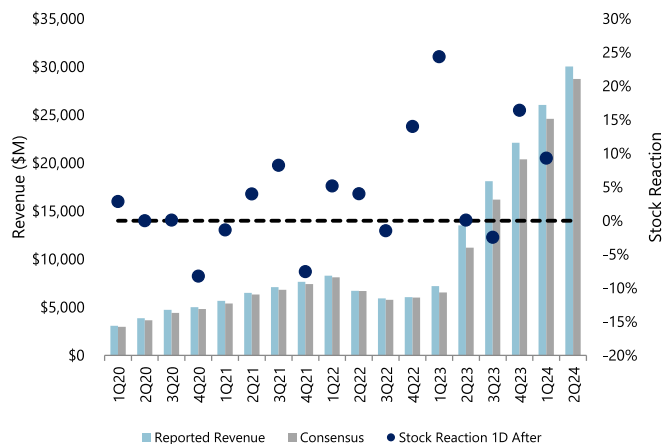
Notable Call Details: Cloud-service providers represented 45% of DC revenue, and more than 50% stemmed from consumer internet and enterprise companies. Networking revenue sequentially was up 16% and includes a doubling of Ethernet for AI revenue. Inference drove more than 40% of DC revenue over last 4 quarters. DC revenue in China grew sequentially in Q2 but remains below levels seen prior to export controls. Executed change to Blackwell GPU mask to improve production yields but no functional changes necessary. Blackwell production ramp is scheduled to begin in 4Q and continue into FY26. For 4Q, expecting to ship several billion USD in Blackwell revenue. Hopper shipments expected to increase in the 2H of FY25. Sampling functional samples of Blackwell, Grace Blackwell, and a variety of systems variations currently. Sovereign AI revenue will reach low-double-digit billions this year. SpectrumX expected to be a multi-billion dollar product line within a year. Software, SaaS, and support revenue to approach a \$2B annual run-rate exiting this year with AI enterprise notably contributing to growth. In Gaming, growth reflected higher sales of GeForce RTX 40 Series GPUs and game console SOCs. Professional Visualization revenue driven by continued ramp of RTX GPU workstations based on Ada architecture. Automotive revenue driven by AI Cockpit solutions and self-driving platforms. BOD approved an additional \$50B SRA, without expiration.

Figure 2 - New vs. Old Estimates vs. Consensus

		New vs. Old			
		Oct-24	Jan-25	CY24	CY25
JEF New	Revenue (M)	\$32,554	\$35,550	\$124,188	\$180,107
	EPS	\$0.73	\$0.79	\$2.81	\$4.19
JEF Old	Revenue	\$32,464	\$35,965	\$123,811	\$180,519
	EPS	\$0.73	\$0.82	\$2.82	\$4.23
Consensus	Revenue	\$31,714	\$34,883	\$122,681	\$166,156
	EPS	\$0.71	\$0.78	\$2.79	\$3.77

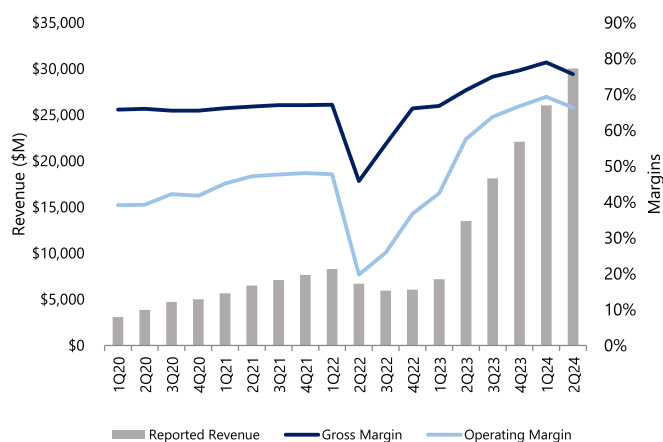
Source: FactSet, Jefferies Research

Chart 1 - Historical Earnings Surprise vs Stock Reaction



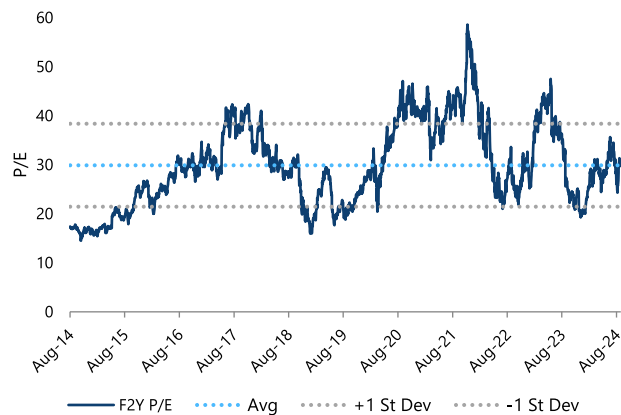
Source: Company Reports, FactSet, Jefferies Research

Chart 3 - Historical Margins



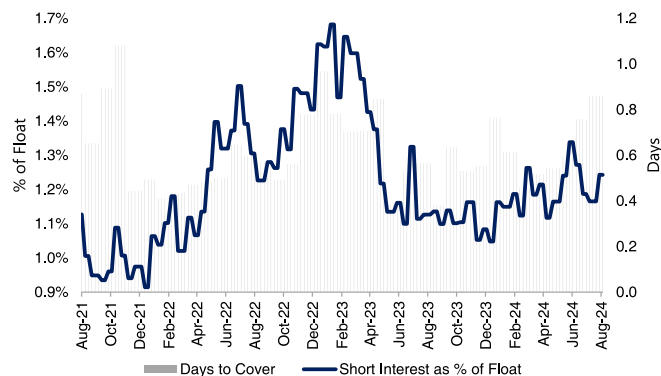
Source: Company Reports, Jefferies Research

Chart 2 - Forward P/E



Source: FactSet, Jefferies Research

Chart 4 - Short Interest



Source: FactSet, Jefferies Research

Figure 3 - Revenue Breakdown

NVIDIA Period Ending \$ in million	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023 CY	2024 CYE	2025 CYE	2026 CYE	2027 CYE
Segment Model																	
Data Center	\$4,284	\$10,323	\$14,514	\$18,404	\$22,563	\$26,272	\$28,600	\$31,341	\$35,618	\$39,581	\$42,607	\$45,868	\$47,525	\$108,776	\$163,675	\$187,650	\$209,739
Compute	3,357	8,612	11,912	15,073	19,392	22,604	24,638	27,102	31,168	34,908	37,700	40,716	38,954	93,737	144,492	166,165	186,105
Networking	927	1,711	2,602	3,331	3,171	3,668	3,961	4,239	4,451	4,673	4,907	5,152	8,571	15,039	19,183	21,485	23,633
Gaming	2,240	2,486	2,856	2,865	2,647	2,880	3,024	3,236	2,847	2,933	3,079	3,295	10,447	11,787	12,155	13,370	14,440
Professional Visualization	295	379	416	463	427	454	477	501	526	536	547	558	1,553	1,858	2,166	2,339	2,527
Automotive	296	253	261	281	329	346	363	381	401	421	442	464	1,091	1,420	1,726	1,985	2,283
OEM and Other	77	66	73	90	78	88	90	92	93	95	97	99	306	347	385	404	424
Total	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$30,040	\$32,554	\$35,550	\$39,485	\$43,566	\$46,772	\$50,284	\$60,922	\$124,188	\$180,107	\$205,749	\$229,413
Check	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$30,040	\$32,550						\$60,922				
QoQ Growth																	
Data Center	18%	141%	41%	27%	23%	16%	9%	10%	14%	11%	8%	8%					
Compute	31%	157%	38%	27%	29%	17%	9%	10%	15%	12%	8%	8%					
Networking	(12%)	85%	52%	28%	(5%)	16%	8%	7%	5%	5%	5%	5%					
Gaming	22%	11%	15%	0%	(8%)	9%	5%	7%	(12%)	3%	5%	7%					
Professional Visualization	31%	28%	10%	11%	(8%)	6%	5%	5%	5%	2%	2%	2%					
Automotive	1%	(15%)	3%	8%	17%	5%	5%	5%	5%	5%	5%	5%					
OEM and Other	(8%)	(14%)	11%	23%	(13%)	13%	2%	2%	2%	2%	2%	2%					
Total	19%	88%	34%	22%	18%	15%	8%	9%	11%	10%	7%	8%					
YoY Growth																	
Data Center	14%	171%	279%	409%	427%	154%	97%	70%	58%	51%	49%	46%	217%	129%	50%	15%	12%
Compute	20%	195%	324%	488%	478%	162%	107%	80%	61%	54%	53%	50%	251%	141%	54%	15%	12%
Networking	(2%)	94%	155%	217%	242%	114%	52%	27%	40%	27%	24%	22%	120%	75%	28%	12%	10%
Gaming	(38%)	22%	81%	56%	18%	16%	6%	13%	8%	2%	2%	2%	15%	13%	3%	10%	8%
Professional Visualization	(53%)	(24%)	108%	105%	45%	20%	15%	8%	23%	18%	15%	11%	1%	20%	17%	8%	8%
Automotive	114%	15%	4%	(4%)	11%	37%	39%	36%	22%	22%	22%	22%	21%	30%	22%	15%	15%
OEM and Other	(51%)	(53%)	0%	7%	1%	33%	23%	2%	20%	8%	8%	8%	(33%)	14%	11%	5%	5%
Total	(13%)	101%	206%	265%	262%	122%	80%	61%	52%	45%	44%	41%	126%	104%	45%	14%	12%
% of Sales																	
Data Center	60%	76%	80%	83%	87%	87%	88%	88%	90%	91%	91%	91%	78%	88%	91%	91%	91%
Data Center	47%	64%	66%	68%	74%	75%	76%	76%	79%	80%	81%	81%	64%	75%	80%	81%	81%
Compute	13%	13%	14%	15%	12%	12%	12%	12%	11%	11%	10%	10%	14%	12%	11%	10%	10%
Gaming	31%	18%	16%	13%	10%	10%	9%	9%	7%	7%	7%	7%	17%	9%	7%	6%	6%
Professional Visualization	4%	3%	2%	2%	2%	2%	1%	1%	1%	1%	1%	1%	3%	1%	1%	1%	1%
Automotive	4%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	2%	1%	1%	1%	1%
OEM and Other	1%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	1%	0%	0%	0%	0%
Total	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%

Source: Company Reports, Jefferies

Figure 4 - Income Statement

NVIDIA Period Ending \$ in million	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023 CY	2024 CYE	2025 CYE	2026 CYE	2027 CYE
Income Statement																	
Revenues	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$30,040	\$32,554	\$35,550	\$39,485	\$43,566	\$46,772	\$50,284	\$60,922	\$124,188	\$180,107	\$205,749	\$229,413
QoQ	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	8.4%	9.2%	11.1%	10.3%	7.4%	7.5%					
YoY	(13.2%)	101.5%	205.5%	265.3%	262.1%	122.4%	79.7%	60.8%	51.6%	45.0%	43.7%	41.4%	125.9%	103.8%	45.0%	14.2%	11.5%
Cost of revenue	2,390	3,893	4,537	5,144	5,484	7,311	8,153	9,251	9,633	10,477	11,135	11,913	15,964	30,199	43,158	49,380	55,059
Gross Profit	\$4,802	\$9,614	\$13,583	\$16,959	\$20,560	\$22,729	\$24,401	\$26,299	\$29,852	\$33,089	\$35,637	\$38,371	\$44,958	\$93,989	\$136,949	\$156,370	\$174,354
Research and development	1,339	1,428	1,581	1,747	1,981	2,241	2,350	2,509	2,634	2,759	2,884	3,009	6,095	9,081	11,286	12,979	14,926
Sales, general and administrative	411	410	445	463	520	551	650	685	710	735	760	785	1,729	2,406	2,990	3,439	3,954
Total Operating Expense	1,750	1,838	2,026	2,210	2,501	2,792	3,000	3,194	3,344	3,494	3,644	3,794	7,824	11,487	14,276	16,417	18,880
Operating Income	\$3,052	\$7,776	\$11,557	\$14,749	\$18,059	\$19,937	\$21,401	\$23,105	\$26,508	\$29,595	\$31,993	\$34,577	\$37,134	\$82,502	\$122,673	\$139,952	\$155,474
Interest Income (Exp) & Other, net	84	120	175	232	302	380	350	420	504	595	701	806	611	1,452	2,606	4,500	5,000
Profit Before Taxes	3,136	7,896	11,732	14,981	18,361	20,317	21,751	23,525	27,012	30,190	32,694	35,384	37,745	83,954	125,279	144,452	160,474
Income tax expense (benefit)	423	1,156	1,712	2,142	3,123	3,365	3,698	3,999	4,592	5,132	5,558	6,015	5,433	14,185	21,297	21,297	21,297
Net Income - Pro Forma	\$2,713	\$6,740	\$10,020	\$12,839	\$15,238	\$16,952	\$18,053	\$19,526	\$22,420	\$25,057	\$27,136	\$29,368	\$32,312	\$69,769	\$103,982	\$123,155	\$139,176
EPS - Pro Forma (ex-ESO)	\$0.11	\$0.27	\$0.40	\$0.52	\$0.61	\$0.68	\$0.73	\$0.79	\$0.90	\$1.01	\$1.09	\$1.18	\$1.30	\$2.81	\$4.19	\$4.96	\$5.60
EPS - Pro Forma (incl-ESO)	\$0.08	\$0.24	\$0.36	\$0.48	\$0.57	\$0.64	\$0.69	\$0.74	\$0.86	\$0.97	\$1.05	\$1.14	\$1.15	\$2.64	\$4.02	\$4.78	\$5.42
EPS - GAAP	\$0.08	\$0.25	\$0.37	\$0.49	\$0.60	\$0.67	\$0.69	\$0.75	\$0.86	\$0.97	\$1.05	\$1.14	\$1.19	\$2.70	\$4.03	\$4.79	\$5.42
Dividends	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.01	\$0.02	\$0.03	\$0.04	\$0.04	\$0.04
Fully Diluted Shares	24,900	24,990	24,940	24,900	24,890	24,848	24,838	24,828	24,818	24,808	24,798	24,788	24,933	24,851	24,803	24,850	24,850
Percent of Sales																	
Gross Margin	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	74.0%	75.6%	76.0%	76.2%	76.3%	73.8%	75.7%	76.0%	76.0%	76.0%
R&D	18.6%	10.6%	8.7%	8.5%	7.6%	7.5%	7.2%	7.1%	6.7%	6.3%	6.2%	8.5%	10.0%	7.3%	6.3%	6.3%	6.5%
SG&A	5.7%	3.0%	2.5%	2.1%	2.0%	1.8%	2.0%	1.9%	1.8%	1.7%	1.6%	1.6%	2.8%	1.9%	1.7%	1.7%	1.7%
Operating Margin	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	65.7%	65.0%	67.1%	67.9%	68.4%	68.8%	61.0%	66.4%	68.1%	68.0%	67.8%
Pre-Tax Margin	43.6%	58.5%	64.7%	67.8%	70.5%	67.6%	66.8%	66.2%	68.4%	69.3%	69.9%	70.4%	62.0%	67.6%	69.6%	70.2%	69.9%
Tax Rate	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	14.4%	16.9%	17.0%	17.0%	17.0%
Net Income	37.7%	49.9%	55.3%	58.1%	58.5%	56.4%	55.5%	54.9%	56.8%	57.5%	58.0%	58.4%	53.0%	56.2%	57.7%	59.9%	60.7%
Sequential Change																	
R&D	(5.3%)	6.6%	10.7%	10.5%	13.4%	13.1%	4.9%	6.8%	5.0%	4.7%	4.5%	4.3%	12.7%	49.0%	24.3%	15.0%	15.0%
SG&A	13.9%	(0.2%)	8.5%	4.0%	12.3%	6.0%	18.0%	5.4%	3.6%	3.5%	3.4%	3.3%	13.8%	39.2%	24.3%	15.0%	15.0%
Reconciliation of Pro Forma to GAAP																	
Stock Based Compensation	(735)	(842)	(979)	(993)	(1,011)	(1,154)	(1,031)	(1,041)	(1,051)	(1,061)	(1,071)	(1,081)	(3,549)	(4,237)	(4,264)	(4,414)	(4,564)
Restructuring costs and other																	
Acquisition Related Items	(173)	(137)	(135)	(137)	(139)	(144)	(144)	(144)	(144)	(144)	(144)	(144)	(582)	(571)	(576)	(576)	(576)
IP-related costs		(2)	(26)	(4)									(32)				
Gains/losses from investments	(14)	62	(69)		69	193							(21)	262			
Interest expense related to amort	(1)	(1)	(1)		(1)	(1)							(3)	(2)			
Others	(4)	5		259		3							260	3			
Tax	257	363	433	321	725	750	176	178	179	181	182	184	1,374	1,829	726	749	771
Net Income - GAAP	\$2,043	\$6,188	\$9,243	\$12,285	\$14,881	\$16,599	\$17,055	\$18,519	\$21,404	\$24,033	\$26,103	\$28,327	\$29,759	\$67,053	\$99,868	\$118,913	\$134,807
GAAP Shares	24,900	24,990	24,940	24,900	24,900	24,848	24,838	24,828	24,818	24,808	24,798	24,788	24,933	24,851	24,803	24,850	24,850
EPS - GAAP	\$0.08	\$0.25	\$0.37	\$0.49	\$0.60	\$0.67	\$0.69	\$0.75	\$0.86	\$0.97	\$1.05	\$1.14	\$1.19	\$2.70	\$4.03	\$4.79	\$5.42

Source: Company Reports, Jefferies Research

Figure 5 - Balance Sheet

NVIDIA Period Ending \$ in million	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023 CY	2024 CYE	2025 CYE
Balance Sheet															
Assets															
Cash and cash equivalents	\$5,079	\$5,783	\$5,519	\$7,280	\$7,587	\$8,571	\$17,279	\$27,203	\$40,003	\$55,125	\$72,813	\$92,536	\$7,280	\$27,203	\$92,536
Marketable securities	10,241	10,240	12,762	18,704	23,851	26,237	26,237	26,237	26,237	26,237	26,237	26,237	18,704	26,237	26,237
Accounts Receivable, net	4,080	7,066	8,309	9,999	12,365	14,132	14,309	15,626	17,356	19,150	20,559	22,103	9,999	15,626	22,103
Inventories	4,611	4,319	4,779	5,282	5,864	6,675	8,511	9,658	10,057	10,937	11,625	12,436	5,282	9,658	12,436
Prepaid expenses & other current assets	872	1,389	1,289	3,080	4,062	4,018	4,018	4,018	4,018	4,018	4,018	4,018	3,080	4,018	4,018
Total Current Assets	\$24,883	\$28,797	\$32,658	\$44,345	\$53,729	\$59,633	\$70,355	\$82,742	\$97,671	\$115,467	\$135,252	\$157,330	\$44,345	\$82,742	\$157,330
Property and equipment, net	\$3,740	\$3,799	\$3,844	\$3,914	\$4,006	\$4,885	\$4,852	\$4,819	\$4,786	\$4,753	\$4,720	\$4,687	\$3,914	\$4,819	\$4,687
Operating lease assets	1,094	1,235	1,316	1,346	1,532	1,556	1,556	1,556	1,556	1,556	1,556	1,556	1,346	1,556	1,556
Goodwill and Intangible Assets	5,971	5,825	5,681	5,542	5,439	5,574	5,574	5,574	5,574	5,574	5,574	5,574	5,542	5,574	5,574
Deferred income tax assets	4,568	5,398	5,982	6,081	7,798	9,578	9,578	9,578	9,578	9,578	9,578	9,578	6,081	9,578	9,578
Other assets	4,204	4,501	4,667	4,500	4,568	4,001	4,001	4,001	4,001	4,001	4,001	4,001	4,500	4,001	4,001
Total Assets	\$44,460.0	\$49,555.0	\$54,148.0	\$65,728.0	\$77,072.0	\$85,227.0	\$95,915.7	\$108,270.2	\$123,166.1	\$140,929.2	\$160,681.1	\$182,725.8	\$65,728.0	\$108,270.2	\$182,725.8
Liabilities															
Accounts Payable	\$1,141	\$1,929	\$2,380	\$2,699	\$2,715	\$3,680	\$4,032	\$4,575	\$4,764	\$5,181	\$5,506	\$5,891	\$2,699	\$4,575	\$5,891
Accrued and other current liabilities	4,869	7,156	5,472	6,682	11,258	10,289	10,289	10,289	10,289	10,289	10,289	10,289	6,682	10,289	10,289
Short-term debt	1,250	1,249	1,249	1,250	1,250								1,250		
Total Current Liabilities	\$7,260.0	\$10,334.0	\$9,101.0	\$10,631.0	\$15,223.0	\$13,969.0	\$14,320.5	\$14,863.7	\$15,052.6	\$15,469.8	\$15,795.4	\$16,179.8	\$10,631.0	\$14,863.7	\$16,179.8
Long-term debt	\$9,704	\$8,456	\$8,457	\$8,459	\$8,460	\$8,461	\$8,461	\$8,461	\$8,461	\$8,461	\$8,461	\$8,461	\$8,459	\$8,461	\$8,461
Long-term operating lease liabilities	939	1,041	1,091	1,119	1,281	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,119	1,304	1,304
Other long-term liabilities	2,037	2,223	2,234	2,541	2,966	3,336	3,336	3,336	3,336	3,336	3,336	3,336	2,541	3,336	3,336
Total Liabilities	\$19,940.0	\$22,054.0	\$20,883.0	\$22,750.0	\$27,930.0	\$27,070.0	\$27,421.5	\$27,964.7	\$28,153.6	\$28,570.8	\$28,896.4	\$29,280.8	\$22,750.0	\$27,964.7	\$29,280.8
Shareholders' Equity															
Common stock	\$2	\$2	\$2	\$2	\$2	\$25	\$25	\$25	\$25	\$25	\$25	\$25	\$2	\$25	\$25
Additional paid-in capital	12,453	12,629	12,991	13,132	12,651	12,115	12,115	12,115	12,115	12,115	12,115	12,115	13,132	12,115	12,115
Accumulated other comprehensive loss	(50)	(51)	(88)	27	(109)	56	56	56	56	56	56	56	27	56	56
Retained earnings	12,115	14,921	20,360	29,817	36,598	45,961	56,298	68,109	82,816	100,162	119,589	141,249	29,817	68,109	141,249
Total Shareholder's Equity	\$24,520.0	\$27,501.0	\$33,265.0	\$42,978.0	\$49,142.0	\$58,157.0	\$68,494.1	\$80,305.4	\$95,012.4	\$112,358.5	\$131,784.7	\$153,444.9	\$42,978.0	\$80,305.4	\$153,444.9
Total Liabilities & Equity	\$44,460.0	\$49,555.0	\$54,148.0	\$65,728.0	\$77,072.0	\$85,227.0	\$95,915.7	\$108,270.2	\$123,166.1	\$140,929.2	\$160,681.1	\$182,725.8	\$65,728.0	\$108,270.2	\$182,725.8
Check	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company Reports, Jefferies

Figure 6 - Statement of Cash Flows

NVIDIA Period Ending \$ in million	Apr-23 1Q	Jul-23 2Q	Oct-23 3Q	Jan-24 4Q	Apr-24 1Q	Jul-24 2Q	Oct-24 3QE	Jan-25 4QE	Apr-25 1QE	Jul-25 2QE	Oct-25 3QE	Jan-26 4QE	2023 CY	2024 CYE	2025 CYE
Cash Flows															
Cash Flow from Operations															
Net Income	\$2,043	\$6,188	\$9,243	\$12,285	\$14,881	\$16,599	\$17,055	\$18,519	\$21,404	\$24,033	\$26,103	\$28,327	\$29,759	\$67,053	\$99,868
Stock based compensation expense	735	842	979	993	1,011	1,153	1,031	1,041	1,051	1,061	1,071	1,081	3,549	4,236	4,264
Depreciation & amortization	384	365	372	387	410	433	433	433	433	433	433	433	1,508	1,709	1,732
Deferred income taxes	(1,135)	(746)	(529)	(78)	(1,577)	(1,699)							(2,488)	(3,276)	
Losses on investments in non-affiliates	14	(60)	69	(260)	(69)	(195)							(237)	(264)	
Other	(34)	(69)	(66)	(109)	(145)	(143)							(278)	(288)	
Changes in operating assets and liabilities:															
Accounts receivable, net	(252)	(2,986)	(1,243)	(1,690)	(2,366)	(1,767)	(177)	(1,317)	(1,730)	(1,794)	(1,409)	(1,544)	(6,171)	(5,627)	(6,476)
Inventories	566	296	(457)	(503)	(577)	(803)	(1,836)	(1,147)	(399)	(881)	(688)	(812)	(98)	(4,363)	(2,778)
Prepaid expenses & other current asset	(215)	(376)	254	(1,184)	(726)	714							(1,521)	(12)	
Accounts payable	11	777	461	281	(22)	823	352	543	189	417	326	384	1,530	1,696	1,316
Accrued and other current liabilities	689	1,986	(1,722)	1,072	4,202	(888)							2,025	3,314	
Other long-term liabilities	105	131	(28)	305	323	261							513	584	
Net Cash from Operations	\$2,911	\$6,348	\$7,333	\$11,499	\$15,345	\$14,488	\$16,857	\$18,072	\$20,949	\$23,270	\$25,836	\$27,870	\$28,091	\$64,762	\$97,925
Cash Flow from Investing															
Proceeds from maturities of marketable securities	\$2,512	\$2,598	\$2,891	\$1,731	\$4,004	\$4,094							\$9,732	\$8,098	
Proceeds from sales of marketable securities				50	149	15							50	164	
Purchases of marketable securities	(2,801)	(2,542)	(5,345)	(7,524)	(9,303)	(5,744)							(18,212)	(15,047)	
Purchases related to property and equipment	(248)	(289)	(278)	(253)	(369)	(977)	(400)	(400)	(400)	(400)	(400)	(400)	(1,068)	(2,146)	(1,600)
Acquisitions, net of cash acquired	(83)				(39)	(278)							(83)	(317)	
Investments in non-affiliates and other	(221)	(214)	(437)	(113)	(135)	(294)							(985)	(429)	
Net Cash from Investing	(\$841)	(\$447)	(\$3,169)	(\$6,109)	(\$5,693)	(\$3,184)	(\$400)	(\$400)	(\$400)	(\$400)	(\$400)	(\$400)	(\$10,566)	(\$9,677)	(\$1,600)
Cash Flows from Financing															
Proceeds related to employee stock plans	\$246	\$1	\$156		\$285								\$403	\$285	
Payments related to repurchases of common stock		(3,067)	(3,806)	(2,660)	(7,740)	(7,158)	(7,500)	(7,500)	(7,500)	(7,500)	(7,500)	(7,500)	(9,533)	(29,898)	(30,000)
Repayment of debt		(1,250)				(1,250)							(1,250)	(1,250)	
Payments related to tax on restricted stock units	(507)	(672)	(764)	(841)	(1,752)	(1,637)							(2,784)	(3,389)	
Dividends paid	(99)	(99)	(99)	(99)	(98)	(246)	(248)	(248)	(248)	(248)	(248)	(248)	(396)	(841)	(992)
Principal payments on property and equipment	(20)	(11)	(13)	(29)	(40)	(29)							(73)	(69)	
Other			(1)										(1)		
Net Cash from Financing	(\$380)	(\$5,098)	(\$4,527)	(\$3,629)	(\$9,345)	(\$10,320)	(\$7,748)	(\$7,748)	(\$7,748)	(\$7,748)	(\$7,748)	(\$7,748)	(\$13,634)	(\$35,162)	(\$30,992)
Cash and cash eqv at beginning	\$3,389	\$5,079	\$5,882	\$5,519	\$7,280	\$7,587	\$8,571	\$17,279	\$27,203	\$40,003	\$55,125	\$72,813	\$3,389	\$7,280	\$27,203
Net increase in cash and cash eqv	\$1,690	\$803	(\$363)	\$1,761	\$307	\$984	\$8,708	\$9,924	\$12,800	\$15,122	\$17,688	\$19,722	\$3,891	\$19,923	\$65,333
Cash and Cash Eqv at end	\$5,079	\$5,882	\$5,519	\$7,280	\$7,587	\$8,571	\$17,279	\$27,203	\$40,003	\$55,125	\$72,813	\$92,536	\$7,280	\$27,203	\$92,536
Check	\$5,079	\$5,882	\$5,519	\$7,280	\$7,587	\$8,571	\$17,279	\$27,203	\$40,003	\$55,125	\$72,813	\$92,536	\$7,280	\$27,203	\$92,536
Cash Flow from Operations	\$2,911	\$6,348	\$7,333	\$11,499	\$15,345	\$14,488	\$16,857	\$18,072	\$20,949	\$23,270	\$25,836	\$27,870	\$28,091	\$64,762	\$97,925
Capex	(\$248)	(\$289)	(\$278)	(\$253)	(\$369)	(\$977)	(\$400)	(\$400)	(\$400)	(\$400)	(\$400)	(\$400)	(\$1,068)	(\$2,146)	(\$1,600)
Free Cash Flow	\$2,663	\$6,059	\$7,055	\$11,246	\$14,976	\$13,511	\$16,457	\$17,672	\$20,549	\$22,870	\$25,436	\$27,470	\$27,023	\$62,616	\$96,325
Free Cash Flow to Equity	\$2,663	\$7,309	\$7,055	\$11,246	\$14,976	\$14,761	\$16,457	\$17,672	\$20,549	\$22,870	\$25,436	\$27,470	\$28,273	\$63,866	\$96,325
Equity FCF/Share	\$0.11	\$0.29	\$0.28	\$0.45	\$0.60	\$0.59	\$0.66	\$0.71	\$0.83	\$0.92	\$1.03	\$1.11	\$1.13	\$2.57	\$3.88

Source: Company Reports, Jefferies Research

Company Description

NVIDIA Corporation

NVIDIA Corporation (NVDA) is a provider of visual computing technologies and the inventor of the graphics processing unit (GPU). The company's products are designed to generate graphics on workstations, personal computers, game consoles, and mobile devices. NVDA serves the entertainment and consumer market with its GeForce graphics products, the professional design and visualization market with its Quadro graphics products, the computing market with its Tesla computing solutions products, and the mobile computing market with its Tegra system-on-a-chip products.

Company Valuation/Risks

NVIDIA Corporation

Price Target: \$150 implies 27x our CY27 EPS of \$5.60.

Risks:

- Emerging competitive threats from INTC, AMD, and internally designed ASICs from Hyperscalers take share and pressure ASPs.
- Slowing datacenter capex spending from Enterprises and Hyperscalers.
- Slower-than-expected ramp of Automotive platform.

Analyst Certification:

I, Blayne Curtis, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published August 28, 2024 , 20:39 ET.

Recommendation Distributed August 28, 2024 , 20:39 ET.

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Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.

Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.

Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.

CS - Coverage Suspended. Jefferies has suspended coverage of this company.

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Valuation Methodology

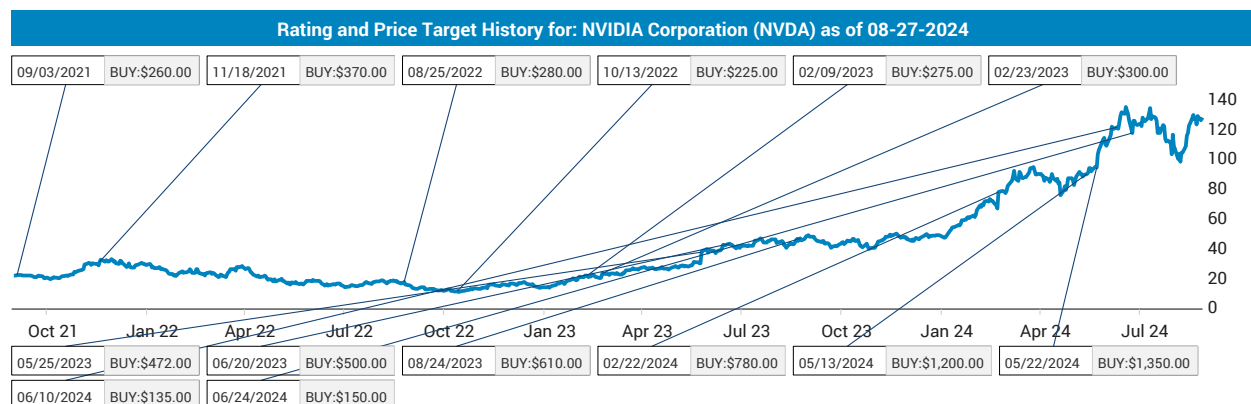
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Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2064	60.12%	354	17.15%	114	5.52%
HOLD	1212	35.30%	98	8.09%	23	1.90%
UNDERPERFORM	157	4.57%	3	1.91%	3	1.91%

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